MAHATMA GANDHI UNIVERSITY, KOTTAYAM
MGU-UGP (HONOURS) EXAMINATION
V SEMESTER
MG5DSEECO306- Business Economics
(2024 ADMISSION ONWARDS)

Duration: 2 hours **Maximum Marks: 70**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

Multiple Choice Questions

Answer all questions

Each question carries **1** marks

1. Which of the following is primarily concerned with the application of economic principles to business decision-making? **[K /CO1]**
   a) Public Economics
   b) Business Economics
   c) Development Economics
   d) International Economics
2. The principle which considers the additional cost and additional benefit arising from a business decision is the: **[K / CO1]**
   a) Opportunity cost principle
   b) Incremental principle
   c) Discounting principle
   d) Time principle
3. Demand for a factor of production arising from the demand for the final product is known as: **[U / CO2]**
   a) Joint demand
   b) Composite demand
   c) Derived demand
   d) Competitive demand
4. When a small change in price causes a proportionately larger change in quantity demanded, demand is: **[U / CO2]**
   a) Inelastic

b) Unitary elastic
c) Elastic
d) Perfectly inelastic

5. Which of the following is a non-statistical technique of demand forecasting? **[K / CO2]**
   a) Regression analysis
   b) Trend projection
   c) Expert opinion
   d) Correlation analysis
6. The production function showing the relationship between inputs and maximum possible output is a: **[K / CO3]**
   a) Cost function
   b) Production function
   c) Revenue function
   d) Demand function
7. Which of the following represents the difference between total revenue and total cost at the break-even point? **[U / CO3]**
   a) Maximum profit
   b) Minimum profit
   c) Zero profit
   d) Economic profit
8. Under which pricing method is a predetermined percentage added to the cost of production? **[U / CO4]**
   a) Penetration pricing
   b) Cost-plus pricing
   c) Skimming pricing
   d) Differential pricing
9. A pricing strategy in which a firm initially charges a high price for a new product is called: **[U / CO4]**
   a) Penetration pricing
   b) Cost-plus pricing
   c) Price skimming
   d) Going-rate pricing
10. Economic profit differs from accounting profit because economic profit takes into account: **[U / CO4]**
    a) Only explicit costs
    b) Only fixed costs
    c) Explicit and implicit costs
    d)Only variable costs

[1x10 = 10

Part B

Short Answer

Answer any 10 questions

Each question carries 3 marks

11. Explain the role of Business Economics in managerial decision-making **[U / CO1]**
12. What is meant by the theory of firms? State its basic objective. **[U / CO1]**
13. Explain the opportunity cost principle with a suitable business example. **[A / CO1]**
14. Explain any three determinants of demand. **[U / CO2]**
15. Distinguish between price elasticity and income elasticity of demand. **[An / CO2]**
16. What is demand forecasting? State any two reasons for forecasting demand. **[U / CO2]**
17. What is the Law of Returns to Scale? **[K / CO3]**
18. Distinguish between economies of scale and diseconomies of scale. **[An / CO3]**
19. Distinguish between explicit cost and implicit cost. **[An / CO3]**
20. What is meant by replacement cost? How does it differ from historical cost? **[U / CO3]**
21. What is pricing? State any two reasons why pricing is important to a firm. **[U / CO4]**
22. Explain any three factors that influence the pricing of a new product. **[U / CO4]**
23. Distinguish between accounting profit and economic profit. **[An / CO4]**

[3x10 = 30]

Part C

Short Essay

Answer any **5** questions

Each question carries **6** marks

24. Explain the fundamental principles of Business Economics and discuss their relevance in business decision-making. **[An / CO1]**
25. Explain the different types of demand forecasting. **[U / CO2]**
26. Explain the Law of Variable Proportions and discuss its different stages. **[An / CO3]**
27. Explain the short-run and long-run cost concepts and distinguish between them. **[An / CO3]**
28. Explain the general and specific methods of pricing used by firms. **[U / CO4]**
29. Explain the major theories of profit, with reference to the risk-bearing, market imperfection and innovation theories. **[An / CO4]**
30. Explain pricing over the life cycle of a product. **[An / CO4]**

[6x5 = 30]